CREDIT AGREEMENT

Dated as of June 14, 2024

BY AND AMONG

APEX INDUSTRIAL COMPONENTS, INC.,
as Borrower

AND

FIRST MIDWEST COMMERCIAL BANK,
as Administrative Agent

AND

THE LENDERS PARTY HERETO

ARTICLE I

DEFINITIONS AND INTERPRETATION

Section 1.01. Defined Terms.

For purposes of this Agreement, the following terms shall have the meanings set forth below:

“Adjusted EBITDA” means, for any Measurement Period, Consolidated Net Income of the Borrower and its Subsidiaries on a consolidated basis:

(a) PLUS, without duplication:
(i) Interest Expense,
(ii) income tax expense,
(iii) depreciation and amortization,
(iv) non-cash charges,
(v) non-recurring expenses not to exceed $3,000,000 in aggregate during the term of this Agreement,
(vi) transaction expenses incurred in connection with the June 2024 recapitalization (not to exceed $2,500,000),

and

(b) MINUS non-cash gains.

“Change of Control” shall mean:

(i) the acquisition by any Person or “group” (as defined under Section 13(d) of the Securities Exchange Act of 1934) of beneficial ownership of more than 50% of the outstanding voting Equity Interests of the Borrower;
(ii) the failure of Daniel Mercer to serve as Chief Executive Officer; or
(iii) the sale of all or substantially all assets of the Borrower.

ARTICLE II

THE CREDIT FACILITIES

Section 2.01. Term Loan.

Subject to the terms herein, the Lenders agree to extend a term loan facility in an aggregate principal amount of $48,000,000 (the “Term Loan”).

The Term Loan shall bear interest at:

(a) SOFR + 3.75% per annum, OR
(b) Alternate Base Rate + 2.75%

at the Borrower’s election.

Section 2.02. Revolving Facility.

The Lenders agree to provide a revolving credit facility in an aggregate principal amount not to exceed $12,000,000 (the “Revolving Facility”).

As of the Effective Date, no amounts are drawn under the Revolving Facility.

Commitment Fee: 0.50% per annum on unused commitments.

ARTICLE III

REPAYMENT; PREPAYMENT

Section 3.01. Amortization.

The Term Loan shall amortize at 1.0% per annum of the original principal amount, payable quarterly.

All remaining principal shall be due at maturity on June 14, 2029.

Section 3.03. Mandatory Prepayments.

The Borrower shall prepay the Term Loan with:

(a) 50% of Excess Cash Flow annually, if Net Leverage exceeds 2.0x;
(b) 100% of Net Proceeds from asset sales (subject to reinvestment rights).

ARTICLE IV

REPRESENTATIONS AND WARRANTIES

The Borrower represents and warrants that:

(a) it is duly organized and validly existing;
(b) it is in compliance with all applicable laws, including ITAR regulations;
(c) no Material Adverse Effect has occurred since December 31, 2023;
(d) it maintains insurance coverage customary for its industry.

ARTICLE V

AFFIRMATIVE COVENANTS

Borrower shall:

(a) Deliver quarterly financial statements within 45 days of quarter-end;
(b) Deliver annual audited financial statements within 120 days of fiscal year-end;
(c) Maintain insurance;
(d) Maintain corporate existence.

ARTICLE VI

NEGATIVE COVENANTS

Borrower shall not, without Required Lender consent:

(a) Incur additional indebtedness exceeding $5,000,000 in aggregate;
(b) Declare dividends if Net Leverage exceeds 2.5x;
(c) Make capital expenditures exceeding $8,000,000 per fiscal year;
(d) Enter into affiliate transactions except on arm's-length terms.

ARTICLE VII

FINANCIAL COVENANTS

Section 7.01. Maximum Net Leverage Ratio.

The Borrower shall not permit the Net Leverage Ratio, as of the last day of any fiscal quarter, to exceed:

- 3.00x for Q2–Q4 2024
- 2.75x for FY 2025
- 2.50x thereafter

"Net Leverage Ratio" means Total Debt minus unrestricted cash divided by Adjusted EBITDA for the trailing twelve months.

Section 7.02. Minimum Fixed Charge Coverage Ratio.

The Borrower shall maintain a Fixed Charge Coverage Ratio of not less than 1.25x.

"Fixed Charge Coverage Ratio" means:

(Adjusted EBITDA – Capex – Cash Taxes)
divided by
(Scheduled Principal Payments + Interest Expense).

ARTICLE VIII

EVENTS OF DEFAULT

The occurrence of any of the following shall constitute an Event of Default:

(a) Failure to pay principal when due;
(b) Failure to pay interest within 5 Business Days;
(c) Breach of financial covenants;
(d) Bankruptcy or insolvency;
(e) Change of Control;
(f) Judgment in excess of $3,000,000 not covered by insurance.

Upon an Event of Default, the Administrative Agent may accelerate all obligations.

ARTICLE IX

COLLATERAL

The Obligations shall be secured by:

(a) First priority lien on substantially all tangible and intangible assets;
(b) 100% of the Equity Interests of domestic subsidiaries;
(c) 65% of voting equity of first-tier foreign subsidiaries.

Collateral includes:

- Accounts receivable
- Inventory
- Equipment
- Intellectual property
- General intangibles

ARTICLE X

MISCELLANEOUS

Governing Law: State of New York.

This Agreement constitutes the entire agreement among the parties.
